

29-1c Money in the U.S. Economy

As we will see, the quantity of money circulating in the economy, called the *money stock*, has a powerful influence on many economic variables. But before we consider why that is true, we need to ask a preliminary question: What is the quantity of money? In particular, suppose you were given the task of measuring how much money there is in the U.S. economy. What would you include in your measure?

The most obvious asset to include is

currency (the paper bills and coins in the hands of the public) —the paper bills and coins in the hands of the public. Currency is clearly the most widely accepted medium of exchange in our economy. There is no doubt that it is part of the money stock.

Yet currency is not the only asset that you can use to buy goods and services. Many stores also accept personal checks. Wealth held in your checking account is almost as convenient for buying things as wealth held in your wallet. To measure the money stock, therefore, you might want to include

demand deposits (balances in bank accounts that depositors can access on demand by writing a check)

—balances in bank accounts that depositors can access on demand simply by writing a check or swiping a debit card at a store.

Once you start to consider balances in checking accounts as part of the money stock, you are led to consider the large variety of other accounts that people hold at banks and other financial institutions. Bank depositors usually cannot write checks against the balances in their savings accounts, but they can easily transfer funds from savings into checking accounts. In addition, depositors in money market mutual funds can often write checks against their balances. Thus, these other accounts should plausibly be counted as part of the U.S. money stock.

In a complex economy such as ours, it is not easy to draw a line between assets that can be called “money” and assets that cannot. The coins in your pocket clearly are part of the money stock, and the Empire State Building clearly is not. But there are many assets in between these extremes for which the choice is less clear. Because different analysts can reasonably disagree about where to draw the dividing line between monetary and nonmonetary assets, various measures of the money stock are available for the U.S. economy. [Figure 1](#) shows the two most commonly used, designated M1 and M2. M2 includes more assets in its measure of money than does M1.

Figure 1

Two Measures of the Money Stock for the U.S. Economy

The two most widely followed measures of the money stock are M1 and M2. This figure shows the size of each measure in January 2019.

Source: Federal Reserve.

For our purposes in this book, we need not dwell on the differences between the various measures of money. None of our discussions will hinge on the distinction between M1 and M2. The important point is that the money stock for the U.S. economy includes not only currency but also deposits in banks and other financial institutions that can be readily accessed and used to buy goods and services.

Case Study: Where Is All the Currency?

One puzzle about the money stock of the U.S. economy concerns the amount of currency. In January 2019, there was **\$1.7** trillion of currency outstanding. To put this number in perspective, we can divide it by **258** million, the number of adults (age 16 and older) in the United States. This calculation implies that there is more than **\$6,500** of currency per adult. Most people are surprised by this figure because they carry far less in their wallets.

Who is holding all this currency? No one knows for sure, but there are two plausible explanations.

The first explanation is that much of the currency is held abroad. In foreign countries without a stable monetary system, people often prefer U.S. dollars to domestic assets. Estimates suggest that over half of U.S. dollars circulate outside the United States.

The second explanation is that much of the currency is held by drug dealers, tax evaders, and other criminals. For most people in the U.S. economy, currency is not a particularly good way to hold wealth: Not only can currency be lost or stolen but it also does not earn interest, whereas a bank deposit does. Thus, most people hold only small amounts of currency. By contrast, criminals find currency more appealing. They may avoid putting their money in banks, for instance, because a bank deposit gives police a paper trail that they

can use to trace illegal activities. For criminals, currency may be the best store of value available.

FYI

Why Credit Cards Aren't Money

It might seem natural to include credit cards as part of the economy's stock of money. After all, people use credit cards to make many of their purchases. Aren't credit cards, therefore, a medium of exchange?

At first this argument may seem persuasive, but credit cards are excluded from all measures of the quantity of money. The reason is that credit cards are not really a method of payment but rather a method of *deferring* payment. When you buy a meal with a credit card, the bank that issued the card pays the restaurant what it is due. At a later date, you will have to repay the bank (perhaps with interest). When the time comes to pay your credit card bill, you will probably do so by writing a check against your checking account. The balance in this checking account is part of the economy's stock of money.

Notice that credit cards are different from debit cards, which automatically withdraw funds from a bank account to pay for items bought. Rather than allowing the user to postpone payment for a purchase, a debit card gives the user immediate access to deposits in a bank account. In this sense, a debit card is more similar to a check than to a credit card. The account balances that lie behind debit cards are included in measures of the quantity of money.

Even though credit cards are not considered a form of money, they are nonetheless important for analyzing the monetary system. People who have credit cards can pay many of their bills together at the end of the month, rather than sporadically as they make purchases. As a result, people with credit cards probably hold less money on average than people without credit cards. Thus, the wide availability of credit cards may reduce the amount of money that people choose to hold.

QuickQuiz

1. Fiat money is

- a. a type of money with intrinsic value.
- b. a type of money set by government decree.
- c. any asset used as the medium of exchange.

d. any asset used as the unit of account.

2. The money stock includes all of the following EXCEPT

a. metal coins.

b. paper currency.

c. lines of credit accessible with credit cards.

d. bank balances accessible with debit cards.

Chapter 29: The Monetary System: 29-1c Money in the U.S. Economy

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